

The big picture: Research Proposal, main replication results and possible extensions

Philipp Cremer, Jannis Stagge, Felix Westerhoff

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1 Research Proposal

Replication

- We can confirm the negative correlation between Home Bias and risk sharing. **Within the reference paper selection of OECD countries, a lower Home Bias since the 1990s is associated with higher risk sharing.**
- We focus on the main specification of the reference paper, that is: Consumption and income (GNI) risk sharing as well as Home Bias measured as the share of foreign assets over GDP ("crude Home Bias") and the equity Home Bias ("EHB"). We do not replicate
- The main output is a plot showing the evolution of rolling risk sharing estimates against Home Bias measures as well as an extended Panel risk sharing regression, specifying for the risk sharing parameter κ : $\kappa = \kappa_0 + \kappa_1(t - \bar{t}) + \kappa_2(\text{Home Bias deviation})$
- We omit further Home Bias measures and robustness checks of the reference paper to focus on extensions.

Extensions

- We extend time and observations both to pre-1993 and post-2003, analyzing to what extent the negative correlation between Home Bias and risk sharing holds in a larger population and time horizon. [Main tool: Nested regression]
- We show plots and nested regression for i) Eurozone members against non-Eurozone members and would expect the Home Bias to decrease stronger for the former since 1999 and ii) define the Eurozone Home Bias analogously and would expect the Eurozone Home Bias to increase after 1999.
- If these expectations hold, the lower insurance against idiosyncratic shocks means the cost of a single monetary authority is higher than without this (endogenous) adjustment.

2 Main replication results

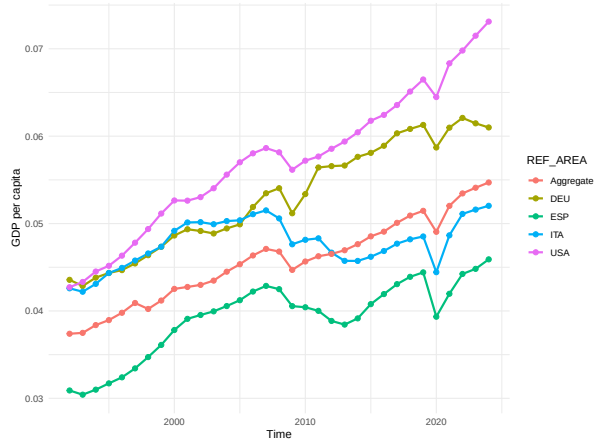
- Show consumption risk sharing plot, crude EHB plot, nested regression
- Caveats/ choices: Skip GNI(data availability), skip EHB (partly wrong stock market capitalization data)

Cross-section risk sharing (regressions and) plots

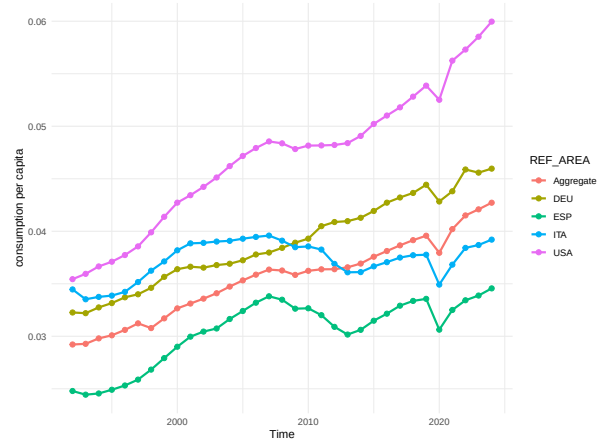
A first look at the data shows that GDP and consumption data (per capita) are valid. (Note: Results for GNI are similar. Because data is less available, we focus on consumption.)

However, the risk sharing plots are off: They show risk sharing in the chosen OECD countries **falls** over the period 1993 - 2003.

Once this mistake is fixed, we can easily extend to pre-1993 and post-2003, focus on the Eurozone,

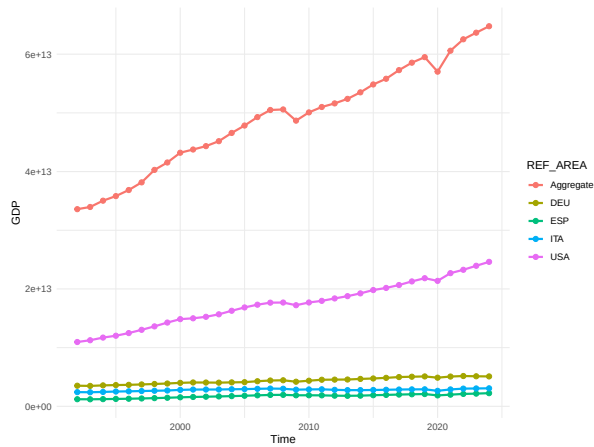


(a) GDP per capita

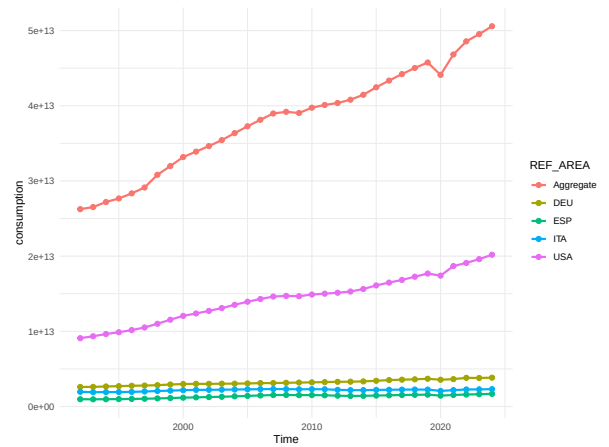


(b) Consumption per capita

Figure 1: (Selected) GDP and consumption per capita



(a) GDP



(b) Consumption

Figure 2: (Selected) GDP and consumption

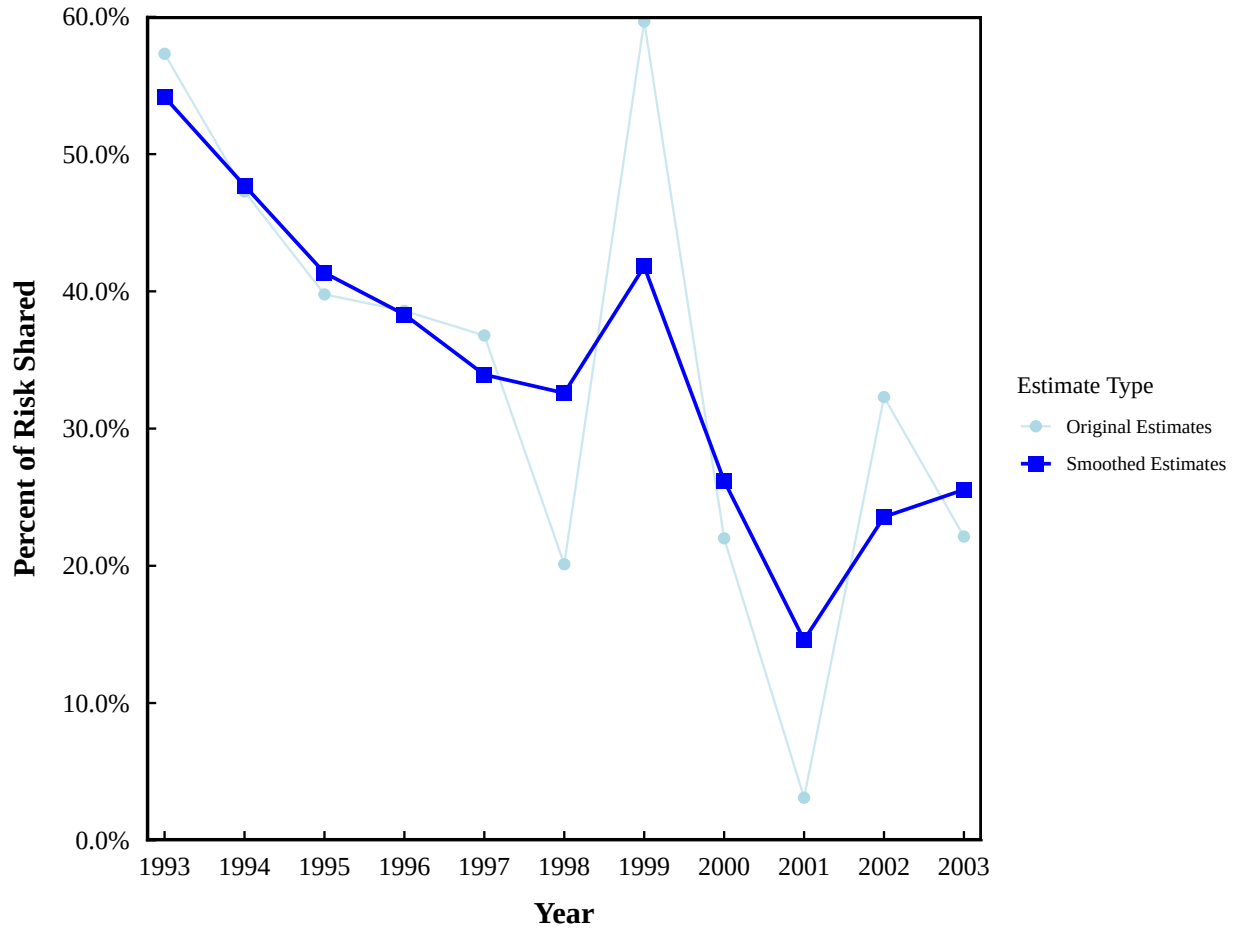


Figure 3: Risk Sharing over replication time period

3 Possible extensions

- Show consumption risk sharing plot, crude EHB plot, nested regression for extended sample
- Show consumption risk sharing plot, crude EHB plot, nested regression for i) Eurozone vs non-Eurozone members and ii) Eurozone (aggregate) against non-Eurozone (aggregate)

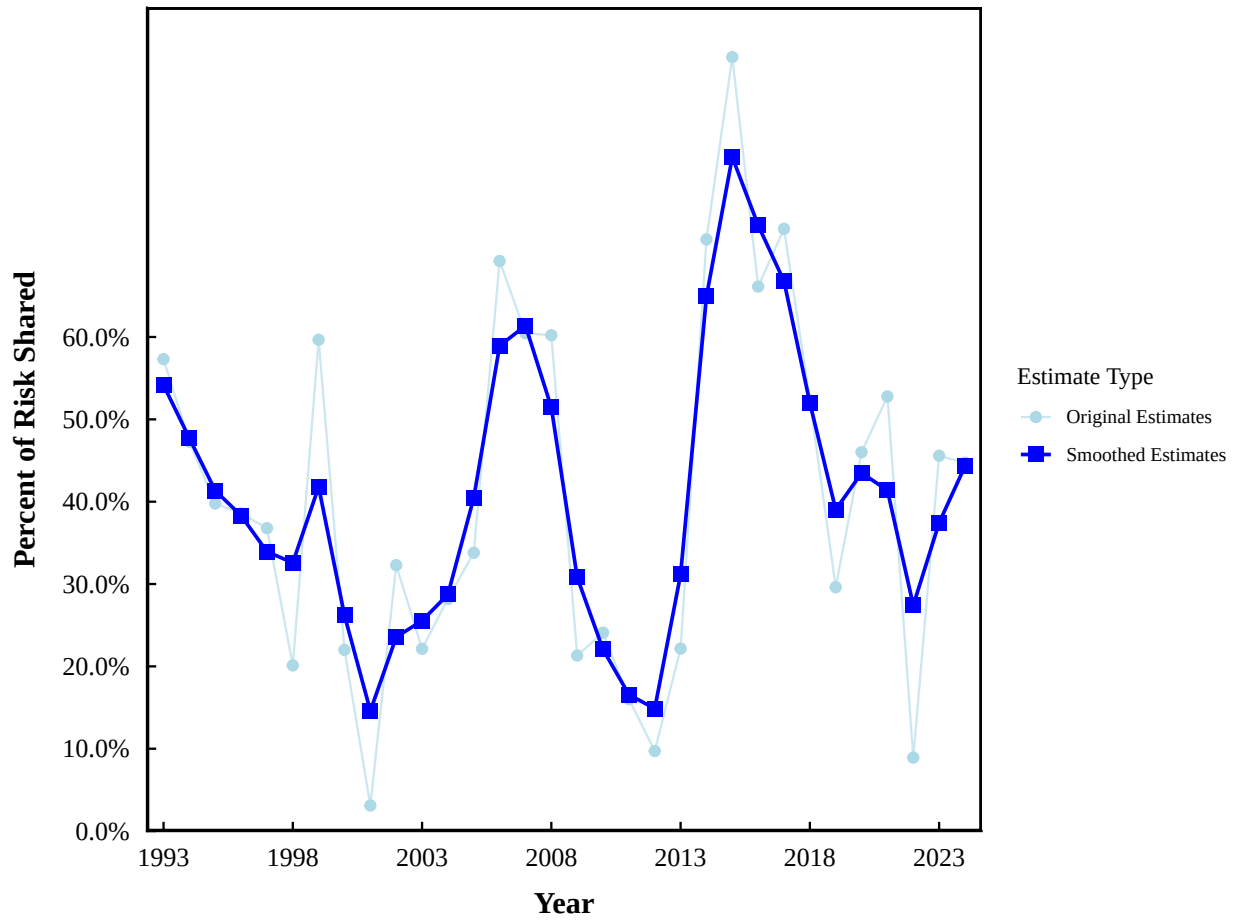


Figure 4: Risk Sharing over extended time period